Bogleheads

Value tilting - stock

Financial experts[1] often recommend that investors should use index mutual funds to invest in entire markets, or, invest in funds that approximate the total market. However, others suggest holding portfolios that tilt toward small and value stocks.[2]

Background

One way to analyze the stock market is to subdivide it into three levels of market capitalization and three styles, giving a 3 × 3 "style" box. For example, the style box[3] for Vanguard's Total Stock Market Index Fund (VTSAX (https://investor.vanguard.com/investment-products/mutual-funds/profile/vtsax)) shows that most of the US Market (the Total Stock Market or "TSM") is held in large caps:

> **John Bogle on tilting**:
> "Impressed both by the long-term performance (and recent performance) of value stocks and small-cap stocks, some investors hold the all-market (or S&P 500) index fund as the core, and add a value index fund and a small-cap index fund as satellites. I'm skeptical that any kind of superior performance will endure forever. (Nothing does!) But if you disagree, it would not be unreasonable to hold, say, 85 percent in the core, another 10 percent in value, and another 5 percent in small cap. But doing so increases the risk that your return will fall short of the market's return, so don't push too far."
>
> —*The Little Book Of Common Sense Investing*, p.206.

Value	Blend	Growth	
19	35	17	**Large**
6	8	6	**Mid**
3	4	2	**Small**

This fund, representing the US Market, or the "Market", is a "*cap weighted*" fund. The intent is that these distribution percentages, by definition, accurately represent the composition of the entire market. Gain and loss over time represents the movement of the market as a whole.

If you invest into a total market index fund, each stock receives the same amount of your investment in proportion to its cap weight. The largest stock gets 100 times the amount of a company 100th its size. Therefore, no company gets more or less than that represented by its market capitalization.

Tilting

Tilting is any deviation from these "market cap" Total Stock Market distribution percentages.

Value stocks and small stocks have historically provided higher returns than large blend and growth stocks, in both domestic and foreign markets. The theoretical basis suggested for these higher returns is that small stocks and value stocks are riskier than large and growth stocks, and higher returns compensate investors for higher risk.[4][5][6] Based on theory and past performance, some investors

choose to add additional value and small stocks to their portfolios. Many investors who tilt employ what is termed a 4 × 25 allocation, consisting of equal parts of 25% large blend, 25% large value, 25% small blend, and 25% small value. Some investors who tilt use blend indexes for growth stock exposure, in response to the long term performance of small cap growth stocks.[7][8] Others use simpler portfolios, and overweight small value stocks by adding a small value fund to the market portfolio.[note 1] Overweight means increasing your holdings to more than is naturally in the market profile.

As an example, if small cap stocks represent 9% (3% + 4% + 2%) of the total market, then *tilting to small* means overweighting your portfolio to hold more than 9% of small cap stocks.

Considerations

Asset allocation

Bogleheads author Larry Swedroe suggests that tilting to stocks with higher expected returns, such as small-cap and value, can let you reduce your overall equity exposure while keeping the same expected return for the portfolio. Holding a smaller allocation to stocks and a larger allocation to bonds reduces the "fat tail" risk; that is, the risk of unexpected events that have a large negative impact on the overall stock market.

Duration

Tilted portfolios need to be held for long holding periods, because the market, value, and size factor returns often rotate over time.[9]

Investor behavior

Investor behavior during bear and bull markets can influence results. Someone who tilts must be able to hold to the allocation during periods when the tilted equity portfolio underperforms the market portfolio. They also need to resist "performance chasing"; that is buying or selling a size or style tilt based on recent performance.

Rate of return

Although small-cap and value stocks may have higher expected returns than large-cap and growth stocks, beware that past returns do not guarantee a similar pattern in the future. The timing and magnitude of the small and value premiums will always be uncertain. Past performance does not predict future performance.

Taxes

In a taxable account, value funds have an additional tax cost, because they tend to have higher dividend yields. Rebalancing between multiple funds may also add to the tax cost, if you cannot rebalance with new money. Small-cap and value index funds are more likely to realize capital gains,

although tax-managed funds and exchange-traded funds (ETFs) reduce this tax effect. If you have both tax-advantaged and taxable accounts, you can avoid most of the extra tax cost with tax-efficient fund placement by holding all the value funds in the tax-advantaged account.

Notes

1. For sample portfolios using small cap tilts, see: Lazy portfolios:
   - Bill Schultheis's "Coffeehouse" portfolio
   - William Bernstein's "Coward's" portfolio
   - Frank Armstrong's "Ideal Index" portfolio

See also

- Vanguard small cap funds FAQ
- Slice and dice

References

1. John Bogle (June 26, 2002). "The Telltale Chart" (https://johncbogle.com/speeches/JCB_Morningstar_6-02.pdf) (PDF). Retrieved January 31, 2026.
2. Eugene F. Fama (July 2000). "The New Indexing" (https://web.archive.org/web/20100413182435/http://www.dfaus.com/2009/05/the-new-indexing.html). Archived from the original (http://www.dfaus.com/2009/05/the-new-indexing.html) on April 13, 2010.
3. "VTSAX – Portfolio – Vanguard Total Stock Mkt Idx Adm" (https://www.morningstar.com/funds/xnas/vtsax/portfolio). Morningstar. Retrieved January 31, 2026.
4. Rolf W. Banz (1981). "The Relationship Between Return and Market Value of Common Stocks". *Journal of Financial Economics* (9): 3–18.
5. James L. Davis; Eugene F. Fama; Kenneth R. French (February 1999). "Characteristics, Covariances, and Average Returns: 1929-1997" (https://ssrn.com/abstract=98678). Center for Research in Security Prices (CRSP). Available at SSRN.
6. Eugene F. Fama; Kenneth R. French (August 1997). "Value Versus Growth: The International Evidence" (https://ssrn.com/abstract=2358). Available at SSRN.
7. William Bernstein (April 1999). "Small Cap Growth Indexing and the Multifactor Threestep" (https://www.efficientfrontier.com/ef/499/scg.htm). Efficient Frontier. Retrieved January 31, 2026.
8. William Bernstein (2001). "The Small-Growth Indexing Anomaly" (https://www.efficientfrontier.com/ef/701/sg.htm). Efficient Frontier. Retrieved January 31, 2026.
9. William Bernstein (2000). "Factor Rotation" (https://www.efficientfrontier.com/ef/700/factors.htm). Efficient Frontier. Retrieved January 31, 2026.

External links

- Remarks by John Bogle regarding the stock market and Reversion to the Mean (RTM):
  - The Stock Market Universe—Stars, Comets, and the Sun (https://johncbogle.com/speeches/JCB_Phila_Ana_2-01.pdf)
  - The Telltale Chart (https://johncbogle.com/speeches/JCB_Morningstar_6-02.pdf)

- Bogleheads forum topic: "Value tilting: the numbers" (https://www.bogleheads.org/forum/viewtopic.php?t=35493). April 1, 2009
- The New Indexing (https://web.archive.org/web/20100413182435/http://www.dfaus.com/2009/05/the-new-indexing.html), from Dimensional Fund Advisors

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